US Economic Weekly

Economics - North America

Hire for longer

- The *May employment report* showed continued acceleration in the labor market. Job gains surprised to the upside, with positive revisions to prior months, and the unemployment rate held steady.
- The labor market is not overheating, but there are also no signs of stress from overly restrictive policy. We expect Fed officials will remain focused on inflation risks.
- We expect *core CPI inflation* moderated to 0.183% m-o-m in May from 0.376% in April as a temporary boost from rent-related technical factors diminished. Goods inflation was slightly positive as IT-related price pressures offset the waning impact of tariffs.
- Despite benign core CPI, we expect core PCE inflation accelerated in May due to strength from PCE relevant PPI components.
- The Trump administration announced new Section 301 tariffs, largely aimed at replicating the IEEPA tariff framework after Section 122 tariffs expire on 24 July. We view the move mainly as an effort to preserve continuity in the trade regime rather than a meaningful escalation.

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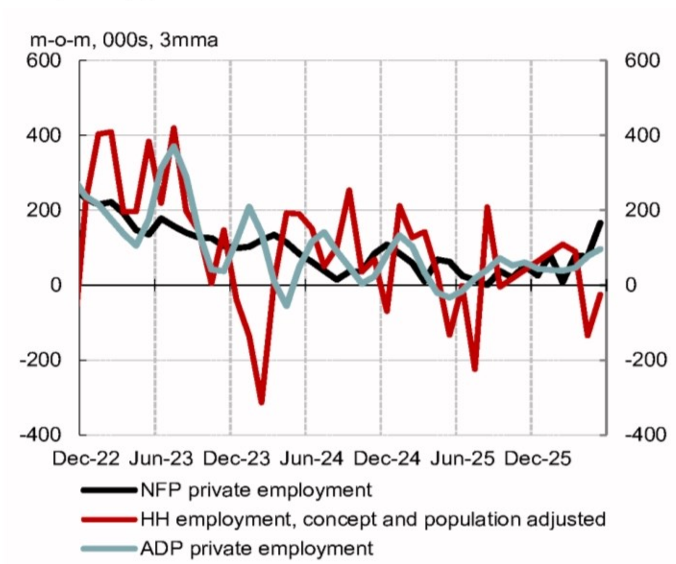
Employment growth remained robust in May

Headline nonfarm payrolls rose 172k in May, well above expectations (Nomura: 110k, consensus: 88k). Revisions to prior months were also positive, which helped push the 3m average to its highest level since March 2024. A broad range of indicators now suggest the underlying trend for employment growth is gaining momentum (*Fig. 1*).

Fig. 1: A broad range of indicators suggest the underlying trend for employment growth is gaining momentum

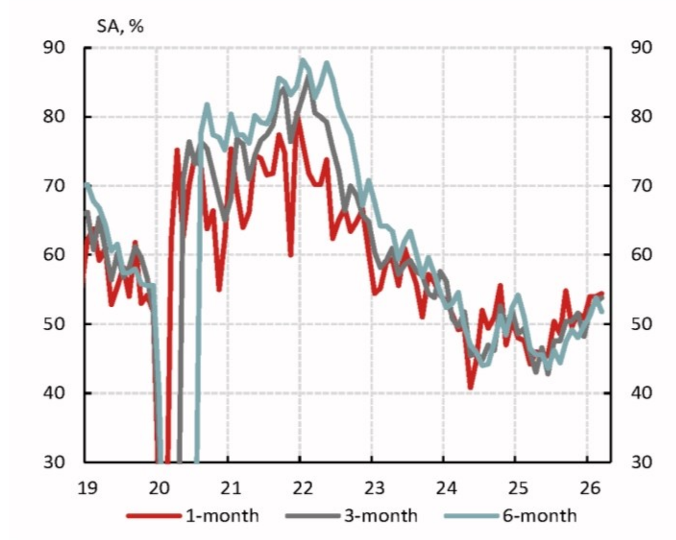
3mma private payrolls



Source: ADP, BLS, Haver, Nomura

Fig. 2: Breadth of job gains have improved lately

BLS' diffusion indices



Source: BLS, Haver, Nomura

Sector level details suggest that some one-off factors boosted NFP on net. An outsize 70k increase in leisure and hospitality may have been partly driven by a temporary boost from the World Cup. In addition, local government employment rose 55k, driving government employment higher in the month. These increases were only modestly offset by negative

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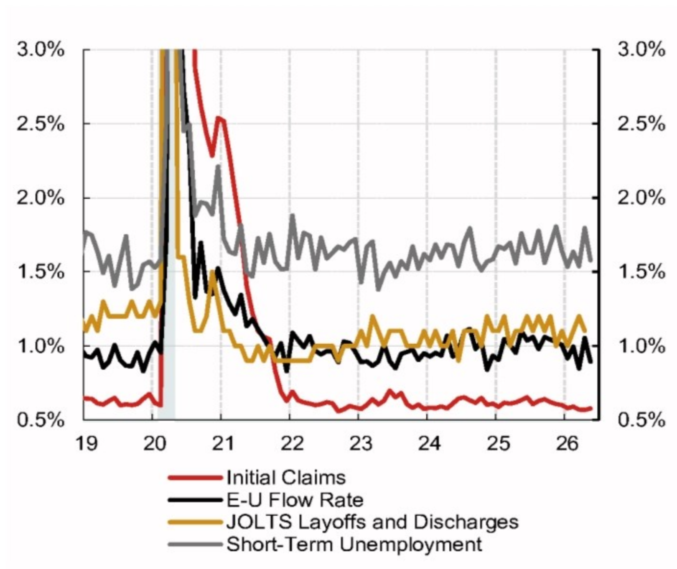
mean-reversion in trade and transportation sectors as well as a 9k decline due to the Spirit Airlines bankruptcy. Despite some noise in the details, the overall breadth of job gains continued to improve alongside strength in cyclical sectors (*Fig. 2*).

The unemployment rate remained steady at 4.3% on a rounded basis. Measures of job losses fell in May, reversing a concerning increase in April (*Fig. 3*). This puts the household survey back in line with other layoff measures like jobless claims and JOLTS, all pointing to a resilient labor market. The job-finding rate picked up modestly but remains lackluster (*Fig. 4*).

Fig. 3: Measures of job losses fell in May, reversing a concerning increase in April

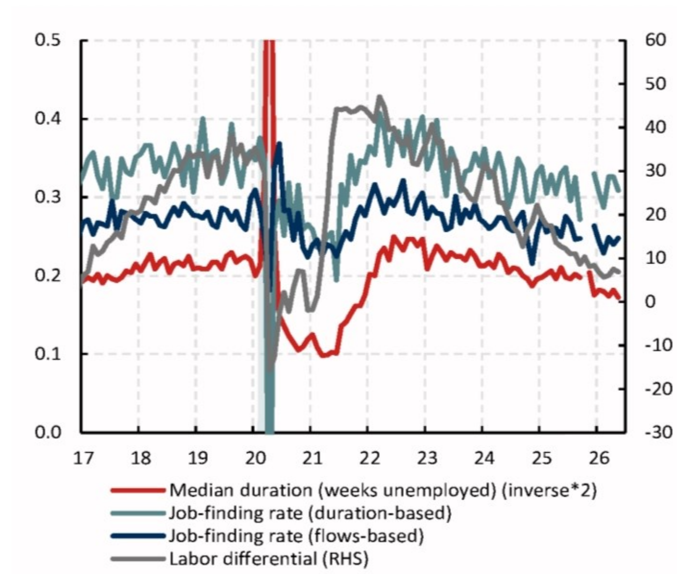
Job loss rates



Source: BLS, Haver, Nomura

Fig. 4: The job-finding rate picked up modestly but remains lackluster

Job-finding rates



Source: BLS, The Conference Board, Haver, Nomura

Average hourly earnings growth picked up to 0.3% m-o-m, driving payroll income growth to 0.4% m-o-m.

Overall, today's report should keep Fed officials focused on inflation risks. Accelerating job gains and steady unemployment suggest the current policy stance is not restraining the economy. Timely measures of job losses show few signs of stress, while backward-looking benchmark data suggest we are unlikely to see a substantial negative revision to NFP later this summer.

While the labor market is healthy, it is also not overheating. The unemployment rate has remained stable, and wage growth is decelerating faster than we had expected. Sideways income growth suggests consumer spending should begin to cool later in the summer. We are skeptical that inflation is on track to return to the Fed's 2% target, but officials can reasonably claim that the labor market is not a significant source of price pressure

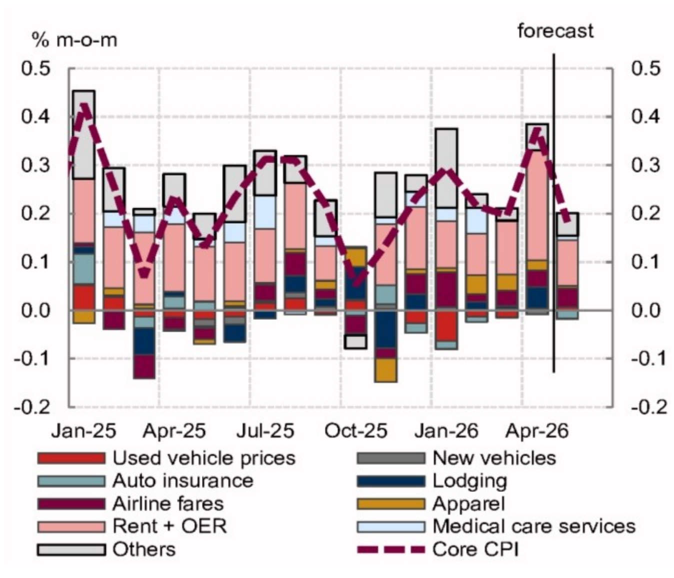
We expect core CPI inflation slowed in May, but broader trajectory remains unchanged

Core CPI inflation likely moderated to 0.183% m-o-m in May from 0.376% in April, as a short-lived boost from rent-related technical adjustment waned in the month (*Fig. 5*).

We forecast core goods inflation rose 0.03% m-o-m, essentially unchanged from April (*Fig. 6*). Leading indicators, including the Adobe Digital Price Index, suggest tech-related components continued to see price increases, while tariff-related inflation eased. Vehicle prices likely remained stable. Overall, we expect that the global chip shortage, energy shocks due to the Iran war, and higher metal prices will continue to push up core goods inflation, offsetting the waning price pressure from tariffs.

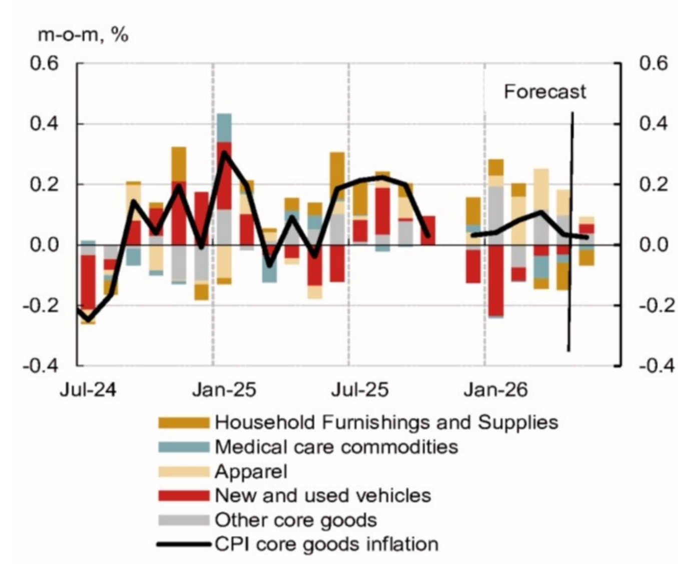
Fig. 5: We expect core CPI inflation moderated to 0.183% m-o-m in May as a temporary boost from rent-related technical adjustment waned in the month

Decomposition of m-o-m core CPI inflation



Note: For CPI components which are not available in October 2025, we assume no inflation on a not-seasonally adjusted basis for survey-based components, but seasonal adjustment is applied.
Source: BLS, Haver, Nomura

Fig. 6: We expect CPI core goods inflation remained slightly positive in May

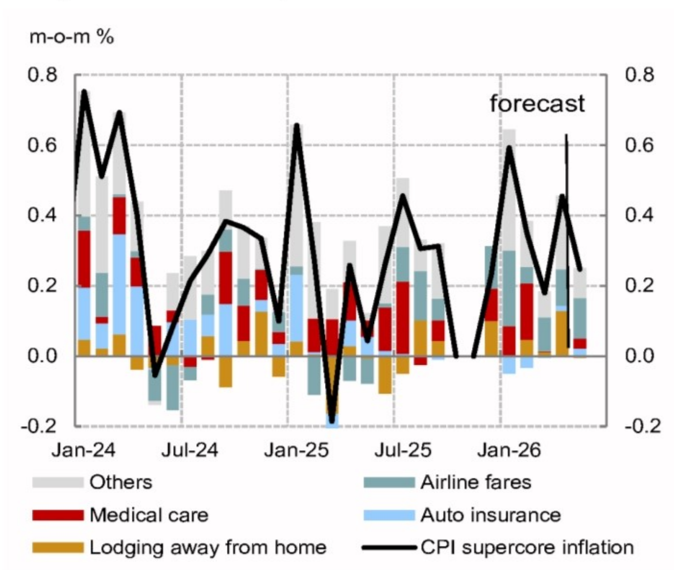


Source: BLS, Haver, Nomura

Supercore service inflation appears to have decelerated to 0.247% m-o-m in May from a 0.454% advance in April (*Fig. 7*). We expect inflation of lodging-away-from-home prices (which tend to mean-revert) slowed in May after having risen strongly in April. Other personal services component also likely slowed in the month due to negative residual seasonality. These declines were modestly offset by airline fares, which likely remained strong due to higher jet fuel prices.

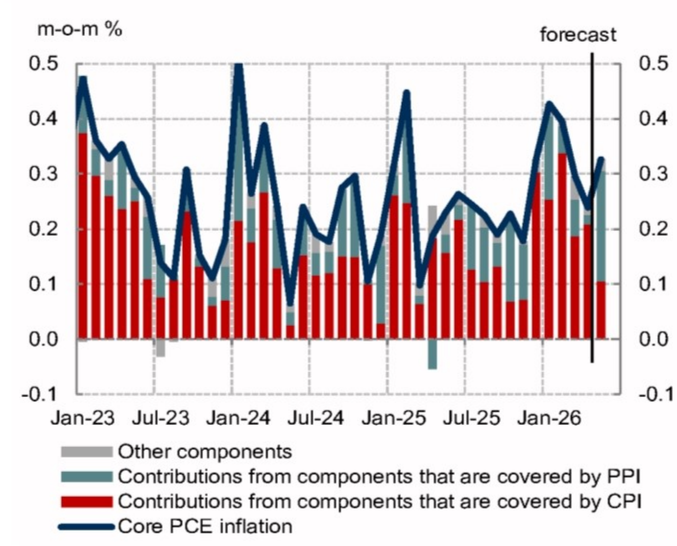
Fig. 7: CPI supercore service inflation likely moderated in May, driven by muted inflation of hotel prices and residual seasonality

Decomposition of m-o-m CPI supercore service inflation



Source: BLS, Haver, Nomura

Fig. 8: Despite benign core CPI, core PCE inflaiton likely accelerated in May due to elevated PPI components



Source: BLS, BEA, Haver, Nomura

Although we anticipate a slowdown in m-o-m core CPI inflation in May, core PCE inflation likely accelerated to 0.327% m-o-m from 0.239% in April due to strength in PCE-relevant PPI components (*Fig. 8*). PCE prices for portfolio management and investment advice services and airline fares (both derived from corresponding PPI data) appear to have risen strongly in May. Our forecast translates into further firming of y-o-y core PCE inflation to 3.4% in May from 3.3% in April, significantly higher than the Fed's target.

There is broader evidence of spillovers from the Iran war. The prices paid index of ISM services rose to its highest level since mid 2022, and in addition to energy, firms noted rising costs for freight, packaging material, food, fertilizers, construction material, and labor. The Beige Book also reported that price increases were "moderate to strong," faster than the "moderate" growth indicated in April.

Fedspeak remains hawkish

Fedspeak has remained hawkish. Dallas Fed president Logan was the highlight of the week. While other officials have laid out scenarios that could solicit some policy tightening, Logan seems to be the first who has unconditionally advocated for increasing rates. She mentioned that current economic conditions suggest that "monetary policy is not restraining the economy," and she was "increasingly concerned that higher interest rates could be necessary later this year" to appropriately balance both sides of the Fed's dual mandate. Cleveland Fed president Hammack also remained hawkish and commented that the May employment report affirms that labor market is roughly in balance. She fell short of advocating for a hike, saying that it is reasonable to keep rates steady now.

NY Fed president Williams remained a dovish outlier, suggesting that he was not concerned about persistent inflation. He also did not see any obvious reason to change the forward guidance language.

Regarding the upcoming June FOMC meeting, a *Financial Times article* indicated that Fed Chair Warsh might not submit his own forecast for the policy rate, sticking to his belief that forward guidance is not useful. Consistent with his claim to make a “reform-oriented” Fed, Warsh *reportedly* tapped two advisors who had previously called for drastic changes in monetary policy operations.

Tariff update: continuity more than escalation

The Trump administration announced new Section 301 tariffs of 10–12.5% on 60 trade partners, largely aimed at replicating the IEEPA tariff framework after Section 122 tariffs expire on 24 July. We view the move mainly as an effort to preserve continuity in the trade regime rather than a meaningful escalation. Our estimate for the terminal effective tariff rate *remains unchanged at 8–9%*.

The proposed tariff rates as a result of forced labor investigations under Section 301 are modestly below corresponding IEEPA tariffs for many countries. However, *USTR Greer said* that results of Section 301 investigations into countries to uncover unfair trade practices related to "structural" excess capacity and production would be released in the coming weeks. These separate 301 probes could result in additional stackable tariffs. We estimate that the shift from country-specific IEEPA tariffs to universal 10% section 122 tariffs lowered the effective tariff rate by 1.5pp. We expect full implementation of Section 301 tariffs would likely reverse most of the decline, lifting the effective tariff rate to ~8.5% from ~7.0% currently.

The broader trajectory of trade policy remains de-escalatory despite episodic flare-ups. Section 232 tariffs on certain metal products were *recently cut* to 15% from 25%, while the domestic content threshold for imported products to qualify as made “entirely” from US aluminum, steel, or copper is set to decline to 85% from 95% of US melted and poured metals. In addition, *Greer mentioned* that proposed additional 25% tariffs on Brazil would be "quite nuanced” and continue to exclude beef, coffee, metals, and some other goods.

Q2 GDP tracking

We lowered our Q1 GDP tracking to 2.3% from 2.4% *last week*. Our estimate for real final sales to private domestic purchasers stands at 2.6% from 2.8% previously. Nonresidential construction spending came in below our expectations, weighing on our estimate for fixed investment. In addition, our forecast for May PCE suggest real spending slowed in the month. These were only partly offset by strength in government consumption to expenditure and IPP due to strong May employment report

Fig. 9: Nomura's inflation forecasts

	Headline PCE		Core PCE			Headline CPI		Core CPI			CPI NSA
	m/m %	y/y %	m/m %	y/y %	qtrly, y/y %	m/m %	y/y %	m/m %	y/y %	qtrly, y/y %	Index
Jan-25	0.35	2.61	0.31	2.78		0.43	3.00	0.43	3.26		317.671
Feb-25	0.40	2.71	0.45	2.97		0.23	2.82	0.25	3.12		319.082
Mar-25	0.02	2.36	0.10	2.67	2.81	0.03	2.39	0.07	2.79	3.08	319.799
Apr-25	0.17	2.28	0.19	2.61		0.16	2.31	0.24	2.78		320.795
May-25	0.18	2.46	0.23	2.78		0.10	2.35	0.13	2.79		321.465
Jun-25	0.29	2.59	0.26	2.81	2.74	0.25	2.67	0.23	2.93	2.82	322.561
Jul-25	0.17	2.61	0.25	2.86		0.23	2.70	0.31	3.06		323.048
Aug-25	0.26	2.75	0.22	2.91		0.35	2.92	0.31	3.11		323.976
Sep-25	0.26	2.79	0.19	2.83	2.87	0.30	3.01	0.22	3.02	3.06	324.800
Oct-25	0.19	2.71	0.23	2.75		0.03	2.76	0.11	2.81		324.372
Nov-25	0.22	2.82	0.18	2.83		0.22	2.74	0.08	2.63		324.122
Dec-25	0.33	2.88	0.33	2.97	2.85	0.30	2.68	0.23	2.64	2.69	324.054
Jan-26	0.33	2.86	0.43	3.09		0.17	2.39	0.30	2.50		325.252
Feb-26	0.40	2.86	0.40	3.03		0.27	2.41	0.22	2.46		326.785
Mar-26	0.66	3.53	0.30	3.24	3.12	0.87	3.26	0.20	2.60	2.53	330.213
Apr-26	0.40	3.77	0.24	3.29		0.64	3.81	0.38	2.75		333.020
May-26	0.460	4.055	0.327	3.390		0.454	4.199	0.183	2.797		334.962
Jun-26	0.12	3.88	0.25	3.38	3.35	0.02	3.96	0.26	2.82	2.79	335.321
Jul-26	0.16	3.87	0.21	3.34		0.13	3.87	0.22	2.73		335.535
Aug-26	0.20	3.81	0.20	3.31		0.22	3.72	0.22	2.64		336.017
Sep-26	0.22	3.76	0.20	3.33	3.33	0.25	3.64	0.22	2.63	2.67	336.623
Oct-26	0.16	3.73	0.22	3.32		0.12	3.72	0.22	2.75		336.438
Nov-26	0.22	3.73	0.21	3.35		0.25	3.72	0.22	2.89		336.176
Dec-26	0.25	3.65	0.21	3.23	3.30	0.30	3.68	0.22	2.87	2.84	335.981
Jan-27	0.20	3.52	0.25	3.05		0.18	3.70	0.27	2.84		337.301
Feb-27	0.12	3.23	0.20	2.85		0.06	3.50	0.20	2.82		338.233
Mar-27	0.21	2.76	0.20	2.75	2.88	0.21	2.86	0.20	2.82	2.83	339.662
Apr-27	0.15	2.51	0.20	2.72		0.11	2.32	0.19	2.64		340.744
May-27	0.15	2.19	0.20	2.59		0.11	1.96	0.19	2.65		341.518
Jun-27	0.16	2.22	0.20	2.53	2.61	0.13	2.07	0.19	2.57	2.62	342.275
Jul-27	0.18	2.25	0.19	2.52		0.17	2.11	0.19	2.54		342.610
Aug-27	0.19	2.24	0.19	2.50		0.20	2.09	0.18	2.50		343.044
Sep-27	0.21	2.23	0.19	2.48	2.50	0.23	2.08	0.18	2.47	2.50	343.637
Oct-27	0.15	2.22	0.19	2.45		0.11	2.08	0.18	2.43		343.431
Nov-27	0.21	2.21	0.18	2.43		0.23	2.07	0.18	2.38		343.136
Dec-27	0.24	2.19	0.18	2.40	2.43	0.29	2.07	0.18	2.34	2.38	342.938

Note: Oct and Nov CPI refers to Nomura's estimate.
Source: BLS, Haver, Nomura

Data Preview

The week ahead

We expect core CPI inflation slowed to 0.183% m-o-m in May from 0.376% in April.

Trade balance (Tuesday): We expect the trade deficit narrowed to $55.0bn in April from $60.3bn March. The advance goods trade report suggested import growth slowed while exports picked up. In addition, we expect services exports growth edged higher in April.

Existing home sales (Tuesday): We expect existing home sales picked up to 4.09mn in May from 4.02mn in April. Pending home sales, a leading indicator for existing sales, remained strong from February through April.

Consumer prices (Wednesday): We expect *core CPI inflation moderated to 0.183% m-o-m in May* from 0.376% in April as a temporary boost from technical adjustments to rent-related components diminished.

Incoming data suggest core goods price inflation remained slightly positive in May. While the tariff impact continued to wane, information technology commodity prices rose further, reflecting higher production costs for consumer electronics.

Supercore CPI inflation likely decelerated modestly in May, despite higher jet fuel costs continuing to push up airline fares.

Regular rent and owners' equivalent rent (OER) likely moderated after having been distorted by technical factors in the previous month. However, we expect May data to show underlying rent disinflation remained gradual.

Our forecast for May core PCE inflation is 0.327% m-o-m, up from 0.239% in April, which translates into y-o-y inflation of 3.4%. Despite our expectation for relatively benign core CPI inflation, PCE-relevant PPI data likely boosted May core PCE inflation.

Jobless claims (Thursday): Initial claims rose this week, while continuing claims declined. The rise in initial claims was primarily due to seasonal factors, which are noisy around the Memorial Day holiday. Overall, claims have remained subdued, pointing to resilient labor markets.

Producer prices (Thursday): We expect PPI inflation remained elevated in May, partly driven by higher energy prices. PCE-relevant PPI data likely boosted May core PCE inflation due to higher prices for financial services and airline fares.

University of Michigan consumer sentiment (Friday): We expect the preliminary print of the University of Michigan consumer sentiment index ticked up to 46.0 in June from 44.8 in May. Energy prices declined modestly and stock prices rose sharply during the survey reference period. High frequency data from the SF Fed Daily News Sentiment Index and Morning Consult also point to a modest improvement in sentiment.

Fig. 10: Forecasts for economic indicators released during the week of 8 June

Monday 8 June		Units	Period	Prev 2	Prev 1	Last	Nomura	Consensus
11.00	NY Fed Survey of Consumer Expect.		May					
Tuesday 9 June								
6.00	NFIB small business survey	Index	May	98.8	95.8	95.9	n.a.	n.a.
8.30	Trade balance	$bn	Apr	-54.7	-57.8	-60.3	-55.0	-55.0
10.00	Existing home sales	mn saar	May	4.13	4.01	4.02	4.09	4.08
10.00	Existing home sales	% m-o-m	May	2.7	-2.9	0.3	1.7	0.7
10.00	Wholesale inventories	% m-o-m	Apr	-0.3	0.9	1.5	n.a.	n.a.
13.00	3-yr Note auction	$bn					58	
Wednesday 10 June								
7.00	Mortgage applications	% w-o-w	5-Jun	-2.3	-8.5	-2.5	n.a.	n.a.
8.30	Consumer prices	% m-o-m	May	0.3	0.9	0.6	0.454	0.5
8.30	Consumer prices	% y-o-y	May	2.4	3.3	3.8	4.198	4.2
8.30	Core CPI	% m-o-m	May	0.2	0.2	0.4	0.183	0.3
8.30	Core CPI	% y-o-y	May	2.5	2.6	2.8	2.797	2.9
8.30	Consumer prices (NSA)	Index	May	326.8	330.2	333.0	334.962	n.a.
13.00	10-yr Note auction	$bn					39	
14.00	Budget statement	$bn	May	-307.5	-164.1	215.0	n.a.	n.a.
Thursday 11 June								
8.30	Initial jobless claims	000s	6-Jun	210	212	225	n.a.	n.a.
8.30	Continuing jobless claims	000s	30-May	1865	1819	1844	n.a.	n.a.
8.30	PPI final demand	% m-o-m	May	0.6	0.7	1.4	n.a.	0.6
8.30	PPI ex food and energy	% m-o-m	May	0.4	0.2	1.0	n.a.	0.5
13.00	30-yr Bond auction	$bn					22	
Friday 12 June								
10.00	U of M consumer sentiment	Index	Jun-Pre	53.3	49.8	44.8	46.0	46.5
10.00	U of M 5-10yr inflation expectations	%	Jun-Pre	3.2	3.5	3.9	n.a.	n.a.

Note: Eastern Daylight Time (EDT). All Nomura forecasts are modal.
Source: Haver, Bloomberg, Nomura

US Economic Outlook

We expect the Fed to stay on hold indefinitely due to diminished political pressure, elevated inflation, and hawkish Fedspeak.

Economic activity: Growth momentum has accelerated, supported by easing tariff uncertainty, fiscal stimulus from the One Big Beautiful Bill Act, and the lagged impact of Fed rate cuts amid easy financial conditions. *Business investment appears to be broadening beyond the AI sector*. Higher tax refunds and strong payroll income growth has supported consumer spending thus far, despite headwinds from the Iran war. A broad range of indicators point to resilience and tentative signs of reacceleration in the labor market. We expect the unemployment rate will begin to decline, reaching 4.1% by year-end. We think that the US economy remains relatively insulated from *the crude oil price shock due to the Iran war* given the small share of energy-goods consumption in household spending, as well as domestic energy production.

Inflation: Core inflation remains well above the Fed's 2% target, and we believe risks are skewed to the upside. We forecast Q4 2026 core PCE inflation of 3.3% y-o-y. We expect tariff price pressures will diminish in the coming quarters. However, supply shortages caused by AI (memory chips, electricity, etc.) along with higher metal prices could exert new inflationary pressures on goods prices. Wage growth seems to have leveled off around 4%, which is likely to lead to stickiness in supercore service inflation. We expect rent disinflation to continue, but at a very gradual pace.

Policy: *We expect the Fed to remain on hold indefinitely*. Fed Chair Warsh likely remains motivated to ease policy, but recent elevated inflation readings and hawkish Fedspeak make us skeptical that he will be able to convince a majority of the Fed to go along with rate cuts. Moreover, support among Fed officials for an easing bias has begun to wane. While hikes are not likely in the near term, the Fed's hesitance to respond to tentative signs of an inflation problem increases the risk that they may end up "behind the curve," needing to hike quickly to re-establish credibility. On tariffs, wider Section 122 exemptions, lower tariff rates, and a greater focus on affordability suggest *limited further escalation* in US trade policy.

Risks: Further escalation of geopolitical risks could lead to a tightening of financial conditions and worsening of the fiscal outlook. Increased political pressures on individual FOMC participants could undermine the Fed's credibility, soliciting sharp market reactions. A bust of the AI boom could lead to material corrections in asset valuations. A continued shortage of memory chips and supply chain disruption due to a protracted Iran war could lead to a second round of goods price increases.

Fig. 11: United States: Details of the forecast

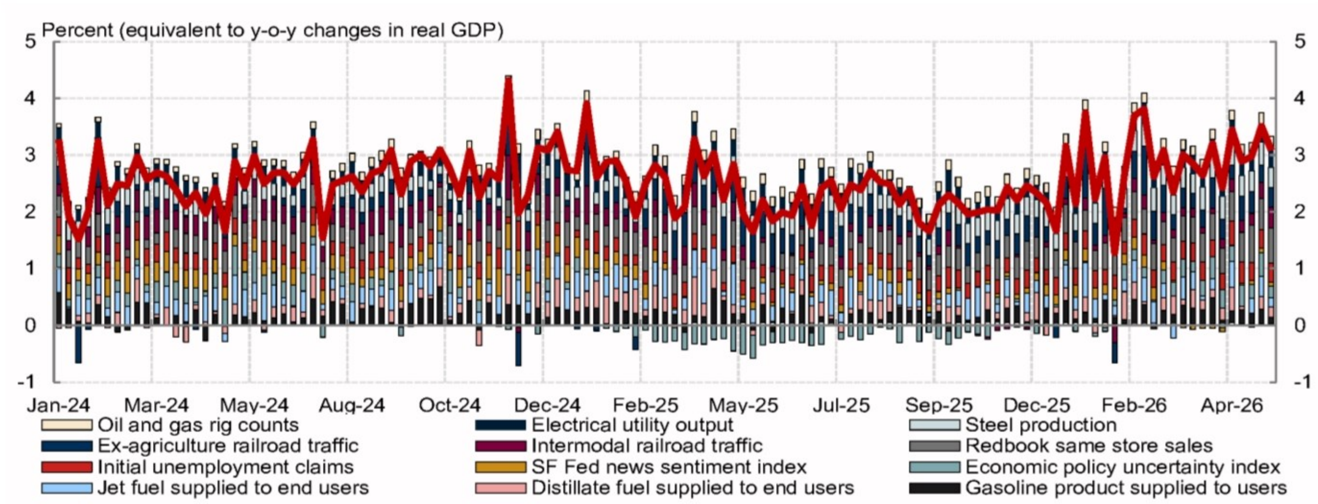
														% y-o-y			% Q4/Q4		
%		1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27	2025	2026	2027	2025	2026	2027
	q-o-q																		
Real GDP	(%, a.r.)	**-0.6**	**3.8**	**4.4**	**0.5**	**1.6**	2.7	2.1	1.9	1.9	1.9	1.6	1.6	**2.1**	2.2	1.9	**2.0**	2.1	1.8
	(%)	**-0.2**	**0.9**	**1.1**	**0.1**	**0.4**	0.7	0.5	0.5	0.5	0.5	0.4	0.4						
Personal consumption	(%, a.r.)	**0.6**	**2.5**	**3.5**	**1.9**	**1.4**	1.7	1.9	1.8	1.8	1.7	1.5	1.5	**2.6**	2.0	1.7	**2.1**	1.7	1.8
Nonresidential fixed invest	(%, a.r.)	**9.5**	**7.3**	**3.2**	**2.4**	**10.1**	9.9	4.5	3.6	3.4	3.1	2.5	2.5	**4.1**	6.4	3.7	**5.6**	7.0	5.3
Residential fixed invest	(%, a.r.)	**-1.0**	**-5.1**	**-7.1**	**-1.7**	**-6.3**	2.5	3.2	3.0	2.8	2.8	2.5	2.5	**-2.2**	-2.1	2.8	**-3.8**	0.5	2.9
Government expenditure	(%, a.r.)	**-1.0**	**-0.1**	**2.2**	**-5.6**	**4.4**	3.3	0.9	0.9	0.9	0.9	0.9	0.9	**1.1**	1.0	1.1	**-1.2**	2.4	1.5
Exports	(%, a.r.)	**0.2**	**-1.8**	**9.6**	**-3.2**	**13.1**	6.3	2.3	2.3	2.3	2.3	2.2	2.1	**1.6**	5.2	2.5	**1.1**	5.9	3.3
Imports	(%, a.r.)	**38.0**	**-29.3**	**-4.4**	**-1.0**	**21.1**	15.2	3.5	3.3	2.8	2.5	2.3	2.0	**2.7**	5.2	3.5	**-1.9**	10.5	6.1
Contributions to GDP:																			
Final sales	(pp., a.r.)	**-3.2**	**7.3**	**4.5**	**0.3**	**1.5**	1.9	2.0	1.8	1.8	1.8	1.5	1.6	**2.2**	2.2	1.8	**2.1**	1.9	1.7
Net trade	(pp., a.r.)	**-4.7**	**4.8**	**1.6**	**-0.2**	**-1.3**	-1.3	-0.2	-0.2	-0.1	-0.1	-0.1	-0.1	**-0.2**	-0.2	-0.2	**0.4**	-0.7	-0.1
Inventories	(pp., a.r.)	**2.6**	**-3.4**	**-0.1**	**0.1**	**0.1**	0.8	0.2	0.1	0.1	0.1	0.1	0.0	**-0.1**	0.0	0.2	**-0.1**	0.2	0.1
	As noted																		
Unemployment rate	(%)	**4.1**	**4.2**	**4.3**	**4.5**	**4.3**	4.3	4.2	4.1	4.0	3.9	3.9	3.9	**4.3**	4.2	3.9			
Nonfarm payrolls	(000s)	**20**	**34**	**23**	**-39**	**68**	75	90	120	100	90	90	90	**10**	88	90			
Housing starts	(000s, a.r.)	**1401**	**1354**	**1346**	**1323**	**1419**	1410	1430	1420	1400	1390	1390	1380	**1356**	1420	1390			
Consumer prices	(%, y-o-y)	**2.7**	**2.5**	**2.9**	**2.7**	**2.7**	3.9	3.7	3.4	3.3	2.1	2.1	2.1	**2.7**	3.4	2.4			
Core CPI	(%, y-o-y)	**3.1**	**2.8**	**3.1**	**2.7**	**2.5**	2.8	2.7	2.8	2.8	2.6	2.5	2.4	**2.9**	2.7	2.6			
PCE Deflator	(%, y-o-y)	**2.6**	**2.4**	**2.7**	**2.8**	**3.1**	3.9	3.8	3.7	3.2	2.3	2.2	2.2	**2.6**	3.6	2.5			
Core PCE	(%, y-o-y)	**2.8**	**2.7**	**2.9**	**2.9**	**3.1**	3.4	3.3	3.3	2.9	2.6	2.5	2.4	**2.8**	3.3	2.6			
Federal budget	(% GDP)													**-5.8**	-6.4	-6.5			
Current account balance	(% GDP)													**-3.7**	-3.7	-3.8			
Fed securities portfolio	($trn)	**6.32**	**6.24**	**6.19**	**6.15**	**6.27**	6.36	6.42	6.48	6.54	6.60	6.66	6.72	**6.15**	6.48	6.72			
Fed funds target midpoint	(%)	**4.375**	**4.375**	**4.125**	**3.625**	**3.625**	3.625	3.625	3.625	3.625	3.625	3.625	3.625	**3.625**	3.625	3.625			
TSY 2-year note	(%)	**3.89**	**3.72**	**3.60**	**3.47**	**3.79**	4.15	4.15	4.10	4.10	4.05	4.00	3.95	**3.47**	4.10	3.95			
TSY 5-year note	(%)	**3.96**	**3.79**	**3.74**	**3.73**	**3.92**	4.30	4.30	4.25	4.25	4.25	4.20	4.20	**3.73**	4.25	4.20			
TSY 10-year note	(%)	**4.23**	**4.24**	**4.16**	**4.18**	**4.30**	4.60	4.60	4.60	4.60	4.60	4.55	4.50	**4.18**	4.60	4.50			

Note: The unemployment rate is a quarterly average as a percentage of the labor force. Nonfarm payrolls are average monthly changes during the period. Inflation measures and calendar year GDP are year-over-year percent changes. The Fed securities portfolio is end-of-period. The annual interest rate forecasts are end-of-period. Housing starts are period averages. Numbers in bold are actual values. Table reflects data available as of 5 June 2026. All Nomura forecasts are modal

Source: BEA, BLS, Census Bureau, FRB, Haver, Nomura

Week in Review

Fig. 12: Weekly data tracker and its decomposition



Note: We estimate a latent factor that contributes the most to the total variance of 13 daily and weekly US indicators covering industrial and consumer sectors via principal component analysis (i.e., the first principal component). We calibrate this factor to track four-quarter changes in real GDP.
Source: AAR, Baker Hughes, DOL, EIA, EEI, MBA, PolicyUncertainty, Redbook Research, SF Fed, Haver Analytics, Nomura

First Insights - US: May Employment Recap

Economic Insights - US: May CPI Preview

Fig. 13: Economic Data Calendar

	Mon 8 June	Tue 9 June	Wed 10 June	Thu 11 June	Fri 12 June
North America	**US** **NY Fed SCE (May)**	**US** **NFIB small business survey** (May) Index 95.9, n.a., n.a. **US** **Trade balance** (Apr) $bn -60.3, -55.0, -55.5 **US** **Existing home sales** (May) % m-o-m 0.3, 1.7, 1.4	**US** **Consumer prices (May)** % m-o-m 0.6, 0.454, 0.5 **US** **Core CPI (May)** % m-o-m 0.4, 0.183, 0.3 **CAN** **BoC policy rate (Jun)** % 2.25, 2.25, 2.25	**US** **PPI final demand (May)** % m-o-m 1.4, n.a., 0.7 **US** **PPI ex food & energy (May)** % m-o-m 1.0, n.a., 0.5	**US** **U of M consumer sent (Jun-P)** Index 44.8, 46.0, 46.5 **US** **U of M 5-10yr inf exp (Jun-P)** % 3.9, n.a., n.a.
Europe (ex-UK)	**EUR Sentix (Jun)** Index -16.4, -14.6, n.a. **GER Factory orders (Apr)** % m-o-m 5.0, 2.0, n.a.	**GER Indust. Product. (Apr)** % m-o-m -0.7, 0.5, n.a.	**NOR CPI (May)** % y-o-y 3.4, 3.2, n.a. **NOR CPI-ATE (May)** % y-o-y 3.2, 3.2, n.a. **ITA Indust. Product. (Apr)** % m-o-m 0.7, n.a., n.a.	**ECB Deposit Facility Rate** % 2.00, 2.25, n.a.	
United Kingdom	**REC Report on Jobs**	**UK BRC Sales l-f-l (May)** % y-o-y -3.4, n.a., n.a.		**RICS House Px (May)** Index -34.0, n.a., n.a.	**BoE Inflation Next 12m (May)** % y-o-y 3.2, n.a., n.a. **UK Monthly GDP (Apr)** % m-o-m 0.3, -0.2, n.a. **UK Indust. Product. (Apr)** % m-o-m -0.2, 0.0, n.a. **UK Index of Services (Apr)** % m-o-m 0.3, -0.2, n.a.
CEEMEA	**Czech R.** **Industrial output (Apr)** %y-o-y -0.2, n.a., n.a. **Czech R.** **Unemployed 15-65 (May)** % 4.9, n.a, n.a	**Hungary** **CPI (May)** %y-o-y 2.1, n.a, n.a **S. Africa** **GDP (1Q)** %y-o-y 0.8, n.a, n.a	**Czech R.** **CPI (May F)** %y-o-y 2.5, n.a, n.a **Türkiye** **Industrial output (Apr)** %y-o-y -1.1, n.a., n.a. **Türkiye** **Retail trade (Apr)** %y-o-y 21.2, n.a., n.a. **Hungary** **Central Bank's minutes**	**Türkiye** **Policy rate decision** % 37.00, 37.00, n.a.	**Türkiye** **Current account balance (Apr)** USDbn -9.7, -5.3, n.a.
Japan	**GDP (Q1-sec)** % q-o-q saar 0.8, 1.4, n.a. **Current Econ. Conditions (May)** Index 40.8, n.a., n.a. **Current account (Apr)** ¥bn 4681.5, 2866.9, n.a.	**M2 (May)** % y-o-y 2.3, 2.2, n.a.	**PPI (May)** % y-o-y 4.9, 5.6, n.a.	**Business Survey Index (Q1)** % balance 4.4, n.a., n.a.	
Asia ex-Japan		**China** **Exports (May)** % y-o-y 14.1, 13.7, 15.0 **S. Korea** **Advance Real GDP estimates (Q1)** % y-o-y 3.6, 3.6, 3.6 **Taiwan** **Exports (May)** % y-o-y 39.0, 37.2, 42.8	**China** **CPI (May)** % y-o-y 1.2, 1.4, 1.3		**Malaysia** **Industrial production (Apr)** % y-o-y 3.1, 5.2, 3.9 **India** **CPI (May)** % y-o-y 3.5, 3.7, 4.0

Source: Bloomberg, Reuters, Nomura Global Economics.

Appendix A-1

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